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Course: ECON 1BB3: Introductory
Macroeconomics

Assignment: Chapter 11

1. Which one of the following is not one of the monetary policy goals of the Bank of Canada?

Choose the correct answer below.

- ☐ A. Maintain stability of financial markets and institutions.
- ☐ B. Maintain price level.
- ☐ C. Maintain high employment.
- ☒ D. Reduce income inequality.

2. What is the difference between the Bank of Canada and commercial banks, such as CIBC, Royal Bank, TD Canada Trust, ScotiaBank, and Bank of Montreal?

- ☐ A. The Bank of Canada is the central bank, it sets objectives of monetary policy, and serves public with loans.
- ☒ B. The Bank of Canada is the central bank, responsible for monetary policy, and does not provide commercial services.
- ☐ C. The Bank of Canada is the central bank, responsible for monetary policy, and provides commercial services as well.
- ☐ D. The Bank of Canada is a union of all commercial banks in Canada, responsible for monetary policy.

3. What is a monetary policy target? Why does the Bank of Canada use policy targets?

A monetary policy target used by the Bank of Canada is

- ☐ A. growth rate of GDP.
- ☐ B. budget deficit.
- ☐ C. unemployment rate.
- ☒ D. interest rate.

The Bank of Canada uses policy targets of interest rate and/or money supply because:

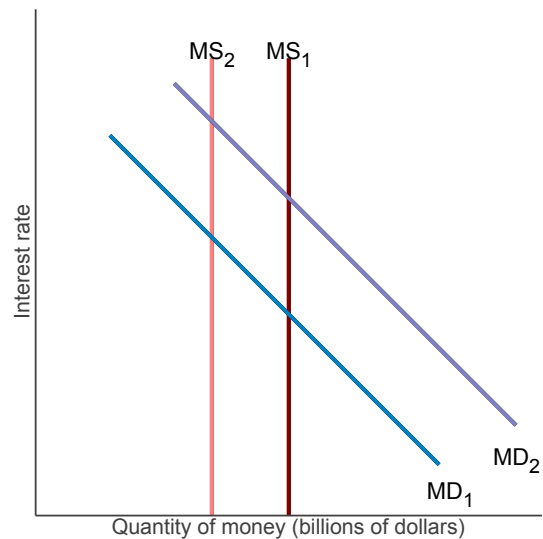
- ☒ A. it can affect the interest rate and the money supply directly and these in turn can affect unemployment, GDP growth, and the price level.
- ☐ B. the inflation rate is controlled by the Government of Canada.
- ☐ C. it is difficult to set a target for the unemployment rate, which constantly fluctuates.
- ☐ D. the target for the GDP growth rate is set by the Government of Canada.

4. In the graph of the money market shown on the right, what could cause the money supply curve to shift from MS_1 to MS_2 ?

- ☐ A. The Bank of Canada increases the money supply by deciding to purchase Canadian Treasury securities.
- ☐ B. The Government of Canada increases the money supply.
- ☐ C. The Bank of Canada decreases the money supply by raising interest rate.
- ☒ D. The Bank of Canada decreases the money supply by deciding to sell Canadian Treasury securities.

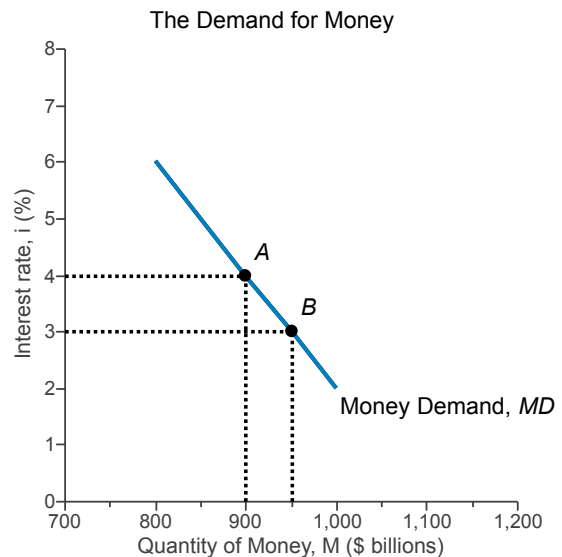
What could cause the money demand curve to shift from MD_1 to MD_2 ?

- ☐ A. An increase in the price level
- ☐ B. A reduction in the interest rate.
- ☐ C. An increase in real GDP.
- ☒ D. Both A and C.



5. If the Bank of Canada purchases \$117 million worth of Canada bonds from the public, the money supply will increase since sellers of these securities will deposit funds in banks, which increases banks' reserves and causes banks to typically loan more.

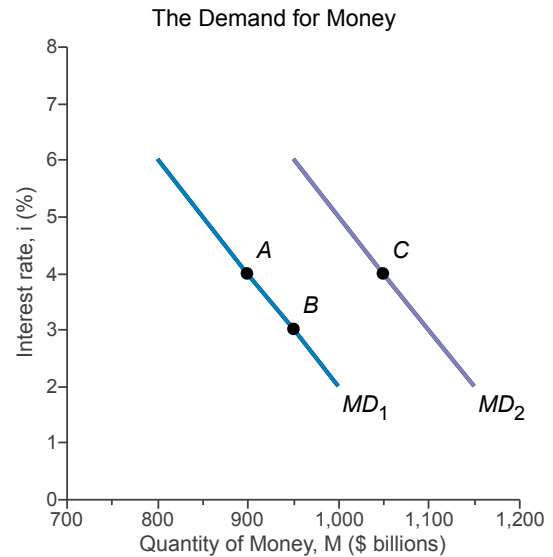
6. In the figure, the opportunity cost of holding money decreases when moving from Point A to Point B on the money demand curve.



7.

In the figure, which of the following events is most likely to cause a shift in the money demand (MD) curve from MD_1 to MD_2 (Point A to Point C)?

- ☐ A. Increase in real GDP or decrease in the price level
- ☒ B. Increase in real GDP or increase in the price level
- ☐ C. Decrease in real GDP or decrease in the price level
- ☐ D. Decrease in real GDP or increase in the price level



8. An increase in interest rates affects aggregate demand by

- ☒ A. shifting the aggregate demand curve to the left, reducing real GDP and lowering the price level.
- ☐ B. shifting the aggregate supply curve to the left, decreasing real GDP and increasing the price level.
- ☐ C. shifting the aggregate supply curve to the right, increasing real GDP and lowering the price level.
- ☐ D. shifting the aggregate demand curve to the right, increasing real GDP and lowering the price level.

As the interest rate increases,

- ☐ A. consumption, investment, and net exports fall but government spending increases, and aggregate demand increases.
- ☐ B. consumption increases but investment and net exports decrease; aggregate demand remains unchanged.
- ☐ C. consumption, investment, and net exports increase, and aggregate demand increases.
- ☒ D. consumption, investment, and net exports decrease; aggregate demand decreases.

9. If the Bank of Canada believes the economy is about to fall into recession, what actions should it take? If the Bank of Canada believes the inflation rate is about to increase, what actions should it take?

If the Bank of Canada believes the economy is about to fall into recession, it should

- ☐ A. use its judgment to do nothing and let the economy make the self adjustment back to potential GDP.
- ☐ B. use an expansionary fiscal policy to increase the interest rate and shift AD to the right.
- ☐ C. use a contractionary monetary policy to lower the interest rate and shift AD to the left.
- ☒ D. use an expansionary monetary policy to lower the interest rate and shift AD to the right.

If the Bank of Canada believes the inflation rate is about to increase, it should

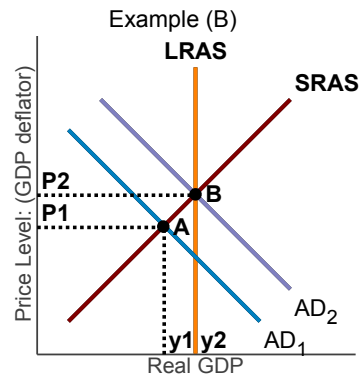
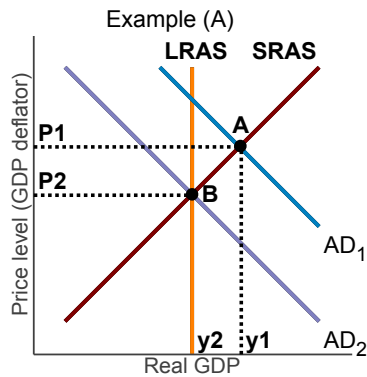
- ☐ A. use an expansionary monetary policy to lower the interest rate and shift AD to the right.
- ☒ B. use a contractionary monetary policy to increase the interest rate and shift AD to the left.
- ☐ C. use a contractionary fiscal policy to increase the interest rate and shift AD to the left.
- ☐ D. use a combination of tax increases and spending cuts to keep the budget balanced.

10. Consider the following statement:

"The Bank of Canada has an easy job. Say it wants to increase real GDP by \$200 billion. All it has to do is increase the money supply by that amount."

The statement is incorrect because an increase in the money supply does not affect real GDP directly.

11. Consider the figures below and determine which is the best description of what causes the shift from AD_1 to AD_2 .



- ☐ A. Example A shows a contractionary monetary policy. The price level and real GDP both fall.
- ☐ B. Example B shows an expansionary monetary policy. The price level and real GDP both rise.
- ☐ C. Both examples show expansionary monetary policy. The price level and real GDP both rise.
- ☐ D. Example A shows an expansionary monetary policy. The price level rises and real GDP falls.
- ☒ E. Both A and B.

12. What is inflation targeting?

- ☐ A. Another name for contractionary monetary policy.
- ☐ B. A policy that attempts to reduce inflation to zero.
- ☐ C. A target that links the Bank of Canada's target for the overnight rate to inflation.
- ☒ D. Committing the central bank to achieve an announced level of inflation.